

HARLEY-DAVIDSON: BACK TO THE BRICKS, DOWN TO BREAK-EVEN • PART 4 OF 4

THE BRICKS.

Five pillars, six targets, one dated number, and a 2027 that lands everything at once: the EBITDA target, the Sportster, and the LiveWire note.

HARLEY-DAVIDSON: BACK TO THE BRICKS, DOWN TO BREAK EVEN • THE ROUTE

THE PLAN, THE BET, THE FINAL WORD

Parts IV, V and VI of the brief, in one carousel.

PART I

THE ARITHMETIC

Add up the guidance: about zero. The subsidiary's loss exceeds the motor company's profit.

PART II

THE SALE

2025's profit was the finance company, sold. \$180M a year traded for \$1.25B once.

PART III

THE SUBSIDIARY

\$422M consolidated. A third of the profit drag from 0.6% of revenue. Cash to May 2027.

PART IV

THE PLAN

Five pillars, six targets. The 2027 number is a 5% margin — below 2019.

PART V

THE BET

\$1.6B of buybacks, and one motorcycle carrying the growth target: the 883.

PART VI

THE FINAL WORD

LiveWire didn't break Harley. It is what the new Harley can't afford.

BACK TO THE BRICKS · 5 MAY 2026 · THE FIVE PILLARS, AS WRITTEN

- 1** Deep appreciation of competitive advantages and legacy
"ICONIC BRAND, DIVERSIFIED AND POWERFUL REVENUE CHANNELS, AND BEST-IN-CLASS DEALER NETWORK"
 - 2** Renewed commitment to the exclusive dealer network
"ENABLE DEALERS TO DOUBLE PROFITABILITY IN 2026 AND THEN DOUBLE IT AGAIN BY 2029"
 - 3** Recapture share where H-D has "right to win"
"NEW MOTORCYCLES, USED MOTORCYCLES, PARTS & ACCESSORIES, AND APPAREL & LICENSING"
 - 4** Strong financial position
"A PATH TO STRONGER FREE CASH FLOW AND EBITDA MARGIN OVER TIME"
 - 5** Bolstered management team
"A NUMBER OF LEADERSHIP APPOINTMENTS"
-

The word "electric" does not appear. LiveWire is in the forward-looking factors only.

THE TARGETS, AGAINST THE RECORD

TARGET	STATED	RECORD
HDMC EBITDA	>\$350M in 2027	≈ \$180M operating income, ~5% margin. 2019: \$290M. 2023: \$661M.
Retail growth	Mid-single-digit CAGR	≈ 6,600 units/yr. 2019–25 CAGR: -8%
Gross margin	25–30%	2025: 24.2%. 2024: 28.0%.
Opex	<20% of sales	2025: 25.0%
EBITDA margin	10–12%	Hardwire promised 15% op margin by 2025. Got (0.8%) .
Fixed cost	–\$150M by 2027	“Not including LiveWire.”

Not in it: a revenue figure, EPS, free cash flow, Sportster volume, a capital-return commitment, or any LiveWire target.

THE ONLY DATED NUMBER, TRANSLATED

\$350M

HDMC EBITDA • 2027

≈ 5%

OPERATING MARGIN • DERIVED (D&A ~\$170M/YR FROM Q2 2026 ADJ.
EBITDA LESS OPERATING INCOME)

HDMC ran a 6.3% margin in 2019 — the year Hardwire was written to fix. **The new plan's target is below where the company stood before the old plan.**

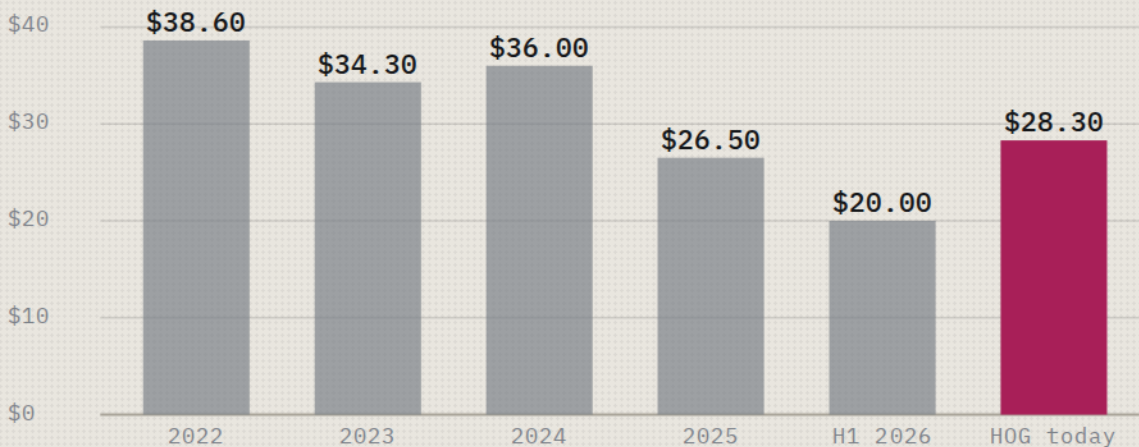
HARDWIRE, 2021-2025 • PROMISED VS DELIVERED

COMMITMENT	TARGET	FY2025
HDMC revenue	+5-7% CAGR → ~\$5.5-5.9B	\$3,578M • -21% vs 2021
HDMC op margin	15% by 2025	(0.8%)
EPS	Low-double-digit growth	\$4.19 → \$2.78
HDFS	Double-digit growth	\$490M via a one-time sale
Cost	\$400M productivity	New plan needs \$150M more
Lead in Electric	100,000 LiveWires/yr from 2026	923. \$422M of losses.

Every quantified target missed.
 Shareholders withheld over 48% from the
 CEO in May 2025; he and two directors
 were gone within a year.

CAPITAL RETURNED • AVERAGE REPURCHASE PRICE BY YEAR VS THE SHARE PRICE, 4 SEP 2026

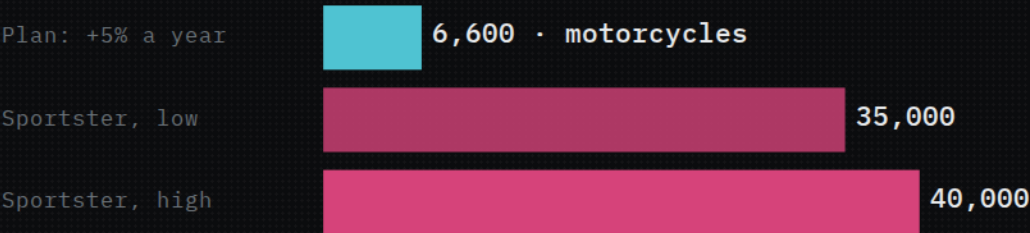
**\$1.63 BILLION OF
BUYBACKS. 52.1M
SHARES. \$31.30
AVERAGE.**



Those shares are worth about \$1.47B at \$28.30. HOG was \$30.47 the day Zeitz took the job in February 2020. Market cap today: ~\$2.9B, with \$1.9B of cash on the balance sheet.

THE BET · WHAT THE GROWTH TARGET NEEDS VS WHAT THE SPORTSTER USED TO SELL · UNITS A YEAR

ONE MOTORCYCLE CARRIES THE GROWTH TARGET.



Starrs: the Sportster market "as recently as five, six years ago... was 35,000–40,000+ on a global basis." Recover a third of that and the 883 alone delivers two years of the plan's growth.

Raymond James, same call: "there's a reason why Sportster was discontinued, right? It was hard to make money." Starrs: the cost is now "extremely comfortable against the expected MSRP."

2027, IF EVERY TARGET LANDS ON TIME

PLAN DELIVERED

Worldwide retail	~143,000 · 66% of 2019
HDMC operating income	~\$180M · ~5% margin
HDFS operating income	~\$80–100M · a third of 2024
LiveWire	Unaddressed · cash out mid-2027 · \$85M due December
Consolidated operating income	~\$200M with LiveWire · ~\$270M without
Dealers	~1,150, twice as profitable as 2025

A quarter of 2023's earnings. Two-thirds of 2019's motorcycles. Three-quarters of the dealers. **That is the plan, working.**

THREE THINGS THAT ARE TRUE AT ONCE

- **LiveWire did not break Harley-Davidson.** A \$75M loss does not take a company from \$779M to zero. Touring, tariffs, a 12% retail decline and the HDFS sale did that. The electric bet is the flattering villain.
- **LiveWire is exactly what the new Harley cannot afford.** When the motor company is guided to make \$10–50M, a \$70–80M loss is the difference between a profit and a loss. The plan solves this by not counting it.
- **The decision has a date.** Cash to May 2027. Note due December 2027. EBITDA target: 2027. Nobody has said what the decision is.

WHICH BRICK IS LIVEWIRE UNDER?

Back to the Bricks has five pillars, six targets and a two-year clock. It is scored on the motor company. Harley-Davidson, Inc. is not the motor company. It is HDMC, plus a finance company sold forward, minus a subsidiary guided to lose more than HDMC makes — with a note due in the plan's own target year.

Full brief — 16 sections in six parts, every source linked, open items and corrections published.

weppner58-moto.github.io/ground-truth/groundtruth/02